DE–3519 **11**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

BUSINESS COMMUNICATION

(1999 Onwards)

Time : Three hours Maximum 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What do you mean by barriers to communication? How and why do they occur?

2. Bring out the qualities of a good business letter.

3. Draft a favourable reply for the enquiry about the M/S Kavitha Textiles.

4. What are adjustment letters? What are the points to be considered while drafting adjustment letters?

5. State the various occasions for drafting circular letters.

6. Write any four types of export correspondence.

7. Explain briefly the different parts of a business letter.

8. As a Secretary of a company, draft a letter to the shareholders giving them a brief assessment of the present working of the company as well as the future prospects.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Define communication. Briefly explain the different types of communication.

10. Discuss briefly the layout of a good business letter.

11. Explain why a complaint letter should be immediately attended to.

12. Place an order for the supply of Designers shirts with Anand Textiles Ltd.

13. Write an application for the post of a Sales executive in a company.

14. A customer of your bank applied for a loan of Rs.1,00,000 against a building. As a manager of a bank, write a tactful reply regretting to grant the loan applied for.

15. Draft the minutes of the Board meeting of Dinesh Ltd., Madurai.

DE–3520 **12**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

BASIC FINANCIAL ACCOUNTING

(1999 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Distinguish between journal and ledger.

2. Write a note on receipts and payments account.

3. What are the advantages of self balancing ledger?

4. Enumerate various methods of charging depreciation.

5. Define consignment. How does it differ from sale?

6. Koshi and Joshi were partners in a joint venture sharing profits and losses in the ratio of 3 : 2. Koshi supplies goods to the value of ₹. 10,000 and incurs expenses of ₹. 500. Joshi also supplied goods to the value of ₹. 8,000 and incurs ₹. 400 towards expenses. Joshi sells the entire stock of goods for ₹. 25,000. Joshi is also entitled to a commission of 5% on sales. Joshi settles his account by remitting a bank draft. Prepare ledger accounts in the books of both the parties.

7. On 1st October 2002, Timestar limited purchased a machine costing ₹. 60,000 and spent ₹. 10,000 for erection. On 1st April, 2003, another machine was purchased for ₹. 30,000. On 1st July 2003, Machinery Purchased on 1st October 2002 was sold for ₹. 56,000. Depreciation was provided annually on 31st March at the rate of 10% p.a. on the original cost of the assets. Show the machinery account upto 31st March 2004.

8. On 1st January 2004, Agarwal sold goods to Banerjee for ₹. 60,000 and draw a two months bill on him for the amount due. On 15th January Agarwal endorsed the bill to Chandran. Journalise the transactions in the books of Agarwal Banerjee and Chandran assuming that the bill is dishonoured on the due date.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define Accounting. Explain various concepts of accounting.

10. From the following Trial Balance, prepare the trading profit and loss account for the year ended 31st March 2009 and a balance sheet as on that date.

Trial Balance as on 31st March 2009

Particulars	Dr.	Cr.
	₹.	₹.
Capital		80,000
Sales		50,000
Creditors		2,000
Bills payable		1,000
Discount earned		500

Particulars	Dr.	Cr.
	₹.	₹.
Interest received		500
Purchases	30,000	
Salaries	4,000	
Rent	3,000	
Wages	2,000	
Insurance	600	
Drawings	10,000	
Machinery	56,000	
Bank	9,000	
Cash	4,000	
Opening stock	10,400	
Debtors	5,000	
	1,34,000	1,34,000

Adjustments :

(a) Closing stock ₹. 10,000

(b) Salaries outstanding ₹. 600

(c) Rent paid in advance ₹. 400

(d) Depreciate machinery at 10%

(e) Bad debts written off ₹. 500.

11. From the following receipts and payments account and additional informations, prepare Income and expenditure account and balance sheet as on 31st March 2009.

Receipts and Payments Account.

Receipts	₹.	Payment	₹.
To Balance b/d	20,000	By Wages	40,000
To Subscription	1,40,000	By Bats and Balls	60,000

Receipts	₹.	Payment	₹.
To Donation	60,000	By Sports equipments	90,000
To Entrance fee	20,000	By Special subscriptions expenses	40,000
To Interest on fixed deposit @ 10%	10,000		
To Sale of motor cycle	2,000	By Investments	10,000
To Special subscriptions	48,000	By Furniture	40,000
		By Balance c/d	20,000
	3,00,000		3,00,000

Additional Information :

(a) Capitalise donation, special subscription surplus in full and half of the Entrance fee.

(b) Stock of bats and balls in the beginning and at the end were ₹. 40,000 and ₹. 10,000 respectively.

(c) Subscription outstanding on 1.4.2008 ₹. 70,000 and on 31.3.2009 was ₹. 10,000.

(d) The assets on 1.4.2008 were : Motor cycle : ₹. 10,000; Ground ₹. 1,40,000; Furniture ₹. 50,000; Sports equipments ₹. 70,000.

12. Baskar does not maintain his account books in double entry system. Following particulars were extracted from his books :

Particulars	1.4.2008	31.3.2009
	₹.	₹.
Machinery	2,50,000	2,50,000
Stock	2,20,000	1,95,000
Sundry debtors	80,000	2,55,000
Sundry creditors	1,25,000	1,00,000
Cash in hand	4,000	8,000
Cash at bank	62,500 (Dr)	70,000 (Cr.)

Cash book shows the following transactions :

Cash sales ₹. 3,12,500; Cash received from Debtors ₹. 16,00,000; Cash paid to creditors ₹. 13,20,000; Cash purchases ₹. 2,88,500; General expenses ₹. 2,14,500; Wages paid ₹. 1,50,000; Drawings ₹. 68,000.

Baskar has taken goods worth ₹. 19,500 from business for his personal use. After writing off depreciation @ 10% p.a. on Machinery, prepare trading and P & L account for the year ending 31st March 2009 and a Balance Sheet on that date.

13. From the following information prepare general ledger adjustment accounts, sales ledger adjustment account and purchases ledger adjustment account as on 31.3.2009.

Particulars	₹.	Particulars	₹.
Debtors (1.4.2008) Dr.	1,74,250	Bills dishonoured	2,000
Debtors (1.4.2008) Cr.	3,200	Bills accepted for creditors	74,000
Creditors (1.4.2008) Cr.	2,74,080	Discount allowed	2,150
Creditors (1.4.2008) Dr.	2,040	Discount disallowed	1,000
Purchases	2,52,000	Cash received from debtors	87,000
Sales	2,82,090	Discount received	10,200
Sales returns	2,080	Cash paid to debtors	250
Purchases returns	7,140	Transfer from debtors ledger to creditors ledger	12,420
Bills receivable	93,000		
Cash paid to creditors	1,27,000		
Bad debts	4,150		

14. Mopeds Ltd., Madras forwarded on 1st June 2010, 50 Mopeds to Mr. Pathak of Patna to be sold on its behalf. The cost of one Moped was ₹. 16,000 but the invoice price was ₹. 20,000. Mopeds Ltd incurred ₹. 1,00,000 on freight and insurance. The consignment was received by Mr. Pathak on 10th June 2010. He also sent a bank draft for ₹. 7,50,000 as advance against the consignment. Mr. Pathak also incurred ₹. 6,000 as godown rent and ₹. 14,000 on advertisement. On 10th August 2010 Mr. Pathak sent an account sales stating that he had sold 45 Mopeds at a price of ₹. 21,500 each. He is also entitled to a commission of 5% on gross sales. Pass journal entries to record the above transactions in the books of Mopeds Ltd and Mr. Pathak assuming that the balance due by Mr. Pathak is sent by bank draft on 31st August 2010.

15. Brown owes Charles a sum of ₹. 18,000. On 1st April, 2010, he gives a bill for the amount payable after 3 month to Charles who discounted it with his bankers for ₹. 17,700 on 3rd April. On the due date, the bill is dishonoured, the bankers paying ₹. 150 as noting charges. Brown then pays ₹. 6,000 in cash and accepts a bill of exchange drawn on him for the balance together with ₹. 350 as interest. The bill is for 2 months. On the due date, the bill is dishonoured, Charles paying ₹. 100 for noting charges. Pass Journal entries in the books of both the parties.

DE–3521 **13**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

PRINCIPLES OF MANAGEMENT

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions in about 200 words each.

All questions carry equal marks.

1. What are the Principles of Management?

2. Explain the process of decision making?

3. Explain the principles of good organisation.

4. What are the basic characteristics of a sound policy?

5. Explain the relationship between planning and control.

6. Explain the process of communication.

7. What are the Qualities of a good leader?

8. What are the elements of directing?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions in about 400 words each.

All questions carry equal marks.

9. Enumerate the general principles of management developed by Henry Fayol.

10. Explain the various types of strategies.

11. What do you understand by forecasting? Explain the various important techniques of Forecasting.

12. What is departmentation? Explain the various bases of departmentation.

13. What are the features of control function? Briefly explain the basic elements of the control process.

14. What is PERT and CPM? Discuss its salient features and advantages.

15. Explain line and staff organisation. What are its advantages and limitations?

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DE–3522 **14**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

COMPANY LAW

(1999 onwards)

Time : Three hours Maximum :100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define a company. What are the advantages of incorporation of a company?

2. Distinguish between private company and public company.

3. Define prospects. State its contents.

4. Who can become a member of a company? Explain the rights and liabilities of a member.

5. What are bonus shares? State the provisions regarding the issues of bonus shares.

6. Define public deposit? Explain the salient provisions of the acceptance of deposits.

7. Explain the contents of statutory report?

8. Describe the qualification and disqualifications of a company director?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Define corporate veil. State the circumstances under which corporate veil could be lifted.

10. Explain the significance of memorandum of association. What are the conditions that a memorandum should contain?

11. What is Table 'A'? Explain the contents of the Articles of association.

12. State the characteristics of shares. How does share differ from debenture.

13. Define debenture. What are the different classification of debentures?

14. Enumerate the powers and duties of the board of directors.

15. What are the requisites of a valid meeting?

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DE–3523 **21**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

SECRETARIAL PRACTICE

(1999 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions in about 200 words each.

All questions carry equal marks.

1. What is the qualification of a company secretary? How he is appointed? Draft a resolution for appointment of a company secretary.

2. What do you mean by charge? Explain its types and consequences of non-registration of charges.

3. Distinguish between transfer and transmission of shares. What are the duties of secretary regarding transmission of shares?

4. What is irregular allotment? Explain the effects of irregular allotment.

5. Explain the procedure for payment of unclaimed dividend.

6. Explain the contents of statutory report.

7. Who is a director? Explain his legal position.

8. Distinguish between members' and creditors' voluntary winding up.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions in about 400 words each.

All questions carry equal marks.

9. What are the duties and liabilities of a company secretary?

10. What is a bonus share? What are the duties of secretary regarding issue of bonus shares?

11. Draft a notice for calling an AGM.

12. What do you mean by resolution? Explain the provisions relating to resolution by postal ballot.

13. Explain the duties of a company secretary regarding removal of directors of a company.

14. Explain the circumstances under which the company will be wound up compulsorily.

15. Explain the duties of secretary regarding creditors' voluntary winding up.

DE–3524 **22**

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

COMMERCIAL LAW

(1999 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions in about 200 words.

All questions carry equal marks.

1. State the essentials of a valid acceptance.

2. How do you classify the contract on the basis of execution?

3. Who is an Agent? How to create Agency?

4. What is 'Caveat Emptor'? State its exceptions.

5. Define Bill of Exchange. What are its features?

6. What is Arbitration? State the powers of Arbitrator.

7. How do you classify common carriers?

8. What are the different kinds of Insurance?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions in about 400 words each.

9. What are the modes by which a contract can be discharged?

10. Who is a minor? Discuss the law relating to minor agreements.

11. "An agreement without consideration is void" – Elucidate.

12. Who is an unpaid seller? What are his rights?

13. What is crossing? Explain its different kinds.

14. Discuss the role of parties to Negotiable Instrument.

15. Who is a bailor? Discuss his rights and duties.

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

BUSINESS STATISTICS

(1999 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the characteristics and limitations of statistics.

2. What is questionnaire? Explain the qualities of a good questionnaire.

3. The monthly profits in rupees of 100 shops are distributed as follows :

Profits per shop :	0-10	10-20	20-30	30-40	40-50	50-60
Number of shop :	12	18	27	20	17	6

Draw a histogram for the data and draw the frequency polygon for it.

4. Calculate Geometric mean for the data given below :

Value(X) :	10	15	25	40	50
Frequency (F) :	4	6	10	7	3

5. Define arithmetic mean. What are its merits and demerits?

6. Find the rank correlation coefficient for percentage of marks secured by a group of students in maths and statistics.

Marks in Maths :	50	60	65	70	75	40	70	80
Marks in statistics :	80	71	60	75	90	92	70	50

7. You are the given the following data :

	X	Y
Arithmetic mean	36	85
Standard deviation	11	8

Correlation coefficient between X and Y 0.66.

(a) Find the two regression equations.

(b) Estimate the value of X when Y = 75.

8. List the difficulties in the construction of Index umber.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the different methods of collecting primary data. What are the merits of these methods?

10. Explain the various types of diagrams used in statistics.

11. Calculate the arithmetic mean, median and mode

Daily profit in Rs.	150-200	200-250	250-300	300-350
No. of shops	10	20	30	25

Daily profit in Rs.	350-400	400-450	450-500
No. of shops	20	3	2

12. Calculate Coefficient of Skewness by Karl Pearson's Method :

Profit in Rs.	10-20	20-30	30-40	40-50	50-60
Number of Companies	18	20	30	22	10

13. Calculate Karl Pearson's coefficient of correlation from the following data :

X :	6	8	12	15	18	20	40	37
Y :	10	17	16	14	12	18	15	30

14. Calculate Fisher's Quantity index from the following data and comment on it.

Commodity	Base year		Current year	
	Price (Rs.)	Value	Price (Rs.)	Value
A	10	200	12	300
B	8	108	10	220
C	20	160	25	250
D	18	144	20	140
E	35	280	30	300

15. Fit a straight line trend for the following series. Estimate the value for 2007.

Year :	2000	2001	2002	2003	2004	2005	2006
Production of steel (m. tonnes) :	60	72	75	65	80	85	95

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

ADVANCED ACCOUNTANCY

(1999 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What journal entries will be made in the following cases?

   (a) A company issued Rs. 40,000/- 6% debentures at par redeemable at par.

   (b) A company issued Rs. 40,000/- 6% debentures at discount of 10% redeemable at par.

   (c) A Company issued Rs. 40,000/- 6% debentures at premium of 5% redeemable at par.

   (d) A Company issued Rs. 40,000/- 6% debentures at par redeemable at 10% Premium.

   (e) A company issued Rs. 40,000/- 6% debentures at discount of 5% redeemable at 5% premium.

2. On 1.1.1998, Rama Collieries Ltd., leased a piece of land agreeing to pay a minimum rent of Rs. 2,000 in the first year, Rs. 4,000 in the second year and thereafter Rs. 6,000 per annum, merging into a royalty of 40 paise

per tonne, with power to recoup short workings over the first three years only. The figures of annual output for the four years to 31st December 2001 were 1,000, 10,000, 18,000 and 20,000 tonnes respectively. Record these transactions' in the ledger of the Company.

3. A company issued 8,000 equity shares of Rs. 100 each at a discount of Rs. 10 per share payable as follows :

   Rs. 30 on application:

   Rs. 40 on allotment (including discount);

   Rs. 20 on first and final call.

   All amounts were duly received. Share issue expenses amounted to Rs. 10,000.

   Pass journal entries and show how discount on shares appear in Balance Sheet.

4. Determine the maximum remuneration payable to the part-time directors and manager of Z ltd. (a manufacturing company) under sections 309 and 387 of the Companies Act, 1956 from the following particulars: Before charging any such remuneration, the Profit and Loss Account showed a credit balance of Rs.46, 20,000 for the year ended 31st March, 2003 after taking into account the following matters :

		Rs.
(a)	Capital expenditure	10,50,000
(b)	Subsidy received from Government	8,40,000
(c)	Special depreciation	1,40,000

		Rs.
(d)	Multiple shift allowance	2,10,000
(e)	Bonus to foreign technicians	6,30,000
(f)	Provision for taxation	56,00,000
(g)	Compensation paid to injured workman	1,40,000
(i)	Ex-gratia to an employee	70,000
(j)	Loss on sale of fixed assets	1,40,000
(k)	Profit on sale of investment	4, 20,000

Company is providing depreciation as per section 350 of the Companies Act, 1956.

5. Balance Sheet of Ram Ltd. as on 31.12.05 :

Liabilities	Rs.	Assets	Rs.
Share capital :		Fixed Assets	8,00,000
35000 Equity share		Current assets	4,40,000
@Rs.10 each	3,50,000		
2,000 3% Preference			
shares @ Rs. 100 each	2,00,000		
Reserve & Surplus			
Capital Redemption Reserve	1,00,000		
General Reserve	50,000		
Profit and Loss	2,40,000		
Creditors	3,00,000		
	12,40,000		12,40,000

On 1.1.06 Company decided to redeem its Preference shares at a premium of 10%. Pass journal entries :

6. Rearrange the following items of a manufacturing company under the heads viz--

   (a) Fixed assets

   (b) Current assets

   (c) Loans and advances

      (i) Live stock

      (ii) Loose tools

      (iii) Security deposit

      (iv) Stores and spares

      (v) Advance tax

      (vi) Bills receivable

      (vii) Interest accrued on investments

      (viii) Fixed deposit with bank

      (ix) Work–in-progress

      (x) Lease premium on land.

7. Lakhani Bros. had a small branch at Jaipur. You are required to prepare Jaipur branch account in the books of Lakhani Bros. Transactions during the year ending 31st March, 2000 were as follows :

	Rs.
Stock at cost on 1.4.1999	8,000
Furniture on 1.4.1999	4,000

	Rs.
Goods sent to Branch	1,20,000
Cash remitted by branch	1,80,000
Goods returned by branch	2,400
Expenses paid by H.O.	10,600
Stock on 31.3.2000	7,000

Furniture is to be depreciated at 10%.

8. Differentiate :

(a) Capital Reserve and Reserve Capital.

(b) Shares and Debentures.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. P, Q and R were in partnership sharing profits equally. They had a Joint Life Policy of the face value of Rs. 18,000. Its surrender value was Rs. 3000 on 1.1.1983, P retired when the firm's Balance Sheet was as under.

Liabilities		Rs.	Assets	Rs.
Capital Accounts	-P	8000	Land and Building	4200
	-Q	6800	Plant and Machinery	6980
	-R	7800	Debtors	8915
Reserve Fund		6000	Investments	8000
Creditors		6928	Cash	7433
		35528		35528

According to Partnership deed assets were agreed to be revalued in P's retirement as under: Land and Building Rs. 5800; Plant and Machinery Rs. 6564; Investments Rs. 8400

Besides Goodwill was then valued at Rs. 9600. P accepted the Investments at their revalued figures in part payment of his dues. Q paid Rs. 4000 as further capital and P was paid of his balance of account.

Prepare Revaluation Account, Partners' Capital Accounts and the revised Balance Sheet of Q and R. Goodwill account is not to be raised in the books and Joint Life Policy not to appear in the new balance sheet.

10. Andy, Bandy and Candy were in partnership sharing profits and losses in the ratio of 3:2:1. They decided to dissolve the partnership and distribute the sale proceeds as and when realized. The partners' capitals were: Andy Rs. 10,000; Bandy Rs. 9,000; Candy Rs. 5,000. Andy's loan amounted to Rs. 3,000 to the firm. Sundry creditors amounted to Rs. 6,000. The assets were realized as under :

Month	Stock	Furniture	Debtors	Expenses
July	3000	300	2000	500
August	2000	100	1500	200
September	2500	—	2000	300
October	300	—	1500	200

You are required to draw up a statement showing the distribution of cash as and when realized.

11. The following was the Balance Sheet of D, E, and F who were equal partners, on 1st April, 1990 :

Liabilities	Rs.	Assets	Rs.
Bills Payable	13,300	Cash	5,600
Creditors	16,000	Debtors	10,800
Capital Accounts -D	36,800	Stock	41,400
- E	32,600	Furniture	17,400
- F	26,000	Building	49,500
	1,24,700		1,24,700

They agreed to take H into partnership and give him a fourth share in the profits on the following terms :

(a) That H should bring in Rs. 9000 for goodwill and Rs. 25000 as capital.

(b) That one — half of the goodwill shall be withdrawn by the old partners.

(c) That Stock and Furniture be depreciated by 10%.

(d) That a provision of 5% on Debtors be created for Doubtful Debts.

(e) That a liability for Rs. 1580 be created against bills discounted.

(f) That the value of the building having appreciated, the building should be valued at Rs. 62000.

(g) That the value of the liabilities and assets other than cash are not to be altered. Give the entries necessary to give effect to the above arrangements, prepare the profit and loss adjustment account, and the Opening Balance Sheet of the firm as newly constituted.

12. A business concern has made the following purchases for its three departments :

Department A	1,000 units	
Department B	2,000 units	
Department C	2,400 units	Total Cost Rs. 1, 00,000

Opening Stock	Sales
Department A 120 units	1,020 units @ Rs. 20 each
Department B 80 units	1,920 units @ Rs. 22.50 each
Department C 152 units	2,496 units @ Rs. 25 each

The rate of gross profit is the same in all the departments. Prepare departmental trading account

13. Super Star Ltd. offered 10,000 Equity shares of Rs. 100 each for subscription at a premium of Rs. 20 per share payable as follows :

On Application Rs. 10/-.

On Allotment (including premium) Rs. 40/-.

On First Call Rs. 20/-.

On Second Call Rs. 30/-.

On Third and Final Call Rs. 20/-.

The Company received applications for 12,000 shares and 10,000 shares were allotted pro rata. Holders of 400 shares failed to pay the First Call and after due notice their shares were forfeited. The amounts payable on the Second Call were paid in full, except that a holder of 200 shares failed to pay. 250 of the 400 shares of forfeited were re-issued, credited with Rs. 80 paid for Rs. 50. per share. The Final Call was met in full including the arrears of the Second Call. Show the necessary Journal Entries including cash in the books of the Company (Ignore Interest on Calls-in-Arrear).

14. The friends manufacturing company Ltd. Chennai, was registered with a nominal capital Rs. 12,00,000 in equity shares of Rs. 10 each. The following is the list of balance extracted from the books on 31st March, 2006.

	Rs.		Rs.
Premises	6,00,000	Sales	8,30,000
Stock (1-4-05)	1,50,000	6% debentures	6,00,000
Furniture	14,000	Profit and Loss A/C (Cr)	29,000
Calls-in-arrears	15,000	Bills payable	76,000
Plant & Machinery	6,60,000	Sundry Creditors	1,00,000

	Rs.		Rs.
Interim dividend paid	75,000	General reserve	50,000
Sundry debtors	1,74,000	Provision for doubtful	
Goodwill	68,000	Debts (1-4-05)	7,000
Cash and bank balances	63,300	Subscribed, called-up	
Purchases	3,70,000	and Paid-up capital	8,00,000
Preliminary expenses	10,000		
Wages	1,69,730		
General Expenses	13,670		
Advertising	20,000		
Freight	26,230		
Salaries	29,000		
Director's fees	11,850		
Bad debts	4,220		
Debenture interest paid	18,000		
	24,92,000		24,92,000

Following adjustments have to be made :

(a) Stock on 31st March, 2006 was valued at Rs. 1,90,000.

(b) Written off Rs. 2,000 from preliminary expenses.

(c) Provide for half year's debenture interest.

(d) The provision for doubtful debts on 31st March, 1998 should be equal to 1% on Sales.

(e) Director's fees are outstanding to the extent of Rs. 550 and salaries Rs. 1,000.

(f) Depreciate plant & machinery by 5%; Premises by 2% and write off Rs. 2,400 on furniture.

(g) Goods to the value of Rs. 3,000 were distributed as free samples during the year. But not entry in this respect had been made.

You are required to prepare the Trading and Profit and Loss account and profit for the year ended 31st March, 2006 and Balance Sheet on the same date.

15. On 1.1.2000 National Transport Co., purchased from Trave Motors five trucks costing Rs. 40,000 each on the hire purchase system. It was agreed that Rs. 50,000 should be paid immediately and the balance in three instalments of Rs. 60,000 each at the end of each year. The Trave motors charges interest @ 10% p.a. The buyer depreciates trucks at 20 % p.a. on the diminishing balance method. The buyer paid cash down and two instalments but failed to pay the last instalment. Consequently, the Travel motors repossessed three trucks, leaving two trucks with the buyer and adjusting the value of 3 trucks against the amount due. The trucks

repossessed were valued on the basis of 30% depreciation p.a. on the written down value. The trucks repossessed were sold by Trave motors for Rs. 60,000 after necessary repairs amounting to Rs. 10,000. Open the necessary ledger accounts in the books of both the parties.

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DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

CORPORATE FINANCE

(1999 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. Explain the scope of finance function.

2. What is financial plan? How is it administered?

3. What are the factors affecting financial plan?

4. What are the characteristics of optimum capital structure?

5. Brief the demerits of preference and equity capital.

6. When can a firm plough back the profits? How?

7. State and explain two financial institutions providing term loans.

8. Give the meaning of working capital and its need.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Write a comprehensive note on the objectives of financial management.

10. What is a financial plan? Discuss the classification and need for finance function.

11. Discuss the causes and remedies available for under capitalization.

12. Explain different types of securities available for equity financing with its merits.

13. What is meant by ploughing back of profits? Explain its merits and limitations.

14. Write a short note on financing term loans by

    (a) IFC &

    (b) ICICI.

15. Enumerate the internal sources of working capital.

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DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

CAPITAL MARKET LAWS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Differentiate capital market form money market and foreign exchange market.

2. Compare OTCEI with other stock exchanges in India.

3. Explain the procedure for listing of companies.

4. What are the powers of central government on stock exchanges?

5. What are the objectives of establishing NSE?

6. Who are brokers and sub-brokers? Explain their eligibility and working.

7. Write a note on the evolution of capital market in India.

8. Explain the structure and regulation of capital market.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the role of various intermediaries in the primary market.

10. Discuss the bye -laws if recognition in stock exchanges.

11. Discuss the role and functions of SEBI.

12. Highlight the constitution and establishment of SEBI.

13. Describe the functioning of NSE and its trading procedures.

14. What are the measures taken by SEBI and central government to promote capital market?

15. Write short notes on:

    (a) High powered committee on recommendation for stock exchanges.

    (b) Market making.

    (c) Role of brokers and sub-brokers.

DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, APRIL 2012.

INCOME TAX LAW AND PRACTICE/TAX LAWS

(2002 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define :
   (a) Assessment Year
   (b) Previous Year.
   (c) Assessee.

2. Mr. X comes to India for the first time on October 10, 2009. On October 15, 2009, he starts a publishing business (income of preceding previous year ending 31st March 2010 : Rs. 87,000). On November 1, 2010, he joins an Indian company as a part-time accountant on monthly salary of Rs. 42,000. He does want to leave India before 31st December 2011. Find out the residential status of Mr. X for the assessment year 2011-12.

3. What is annual value of house property? How is it calculated?

4. Ravi, a non Government employee, receives Rs. 2,50,000 as leave salary at the time of retirement on February 20, 2011. On the basis of the following information, determine the amount of taxable leave salary : Basic pay: Rs. 15,000 per month since 2004; duration of service : 26 years; leave at the credit of Ravi at the time of retirement : 25 months; entitlement of leave salary : 60 days' salary for every year of service and leave availed while in service : 27 months.

5. Distinguish between 'short term capital gain and long term capital gain'.

6. From the following information of Mr. Yahoo, Compute the capital gains for the assessment year 2011-2012.

   (a) Cost of acquisition of residential house in 1983-84 Rs. 3,48,000

   (b) Sale consideration on 1.7.2010 Rs. 20,00,000.

   (c) Cost of acquisition of new house to the data (prior) of filing the income tax return Rs. 3,00,000

   The cost of inflation index in 1983-84 and in 2010-2011 was 116 and 711 respectively.

7. From the particulars given below compute the total income of Mr. Manokaran for the assessment year 2011-2012.

   (a) Rent from house Rs. 24,000 p.a.

   (b) Municipal value Rs. 18,000 p.a

   (c) Local Taxes Rs. 1,800 p.a.

   (d) Fire insurance premium Rs. 600 p.a.

   (e) Interest on loan Rs. 2,000 p.a.

   (f) B/F loss from house property P.Y. 2009-2010 Rs. 20,000

   (g) His other income Rs. 49,500.

8. The following are particulars of income of Mr. Ravi, for the assessment year 2011-12.

		Rs.
(a)	Income from House Property (Computed)	61,200
(b)	Business Income	80,000
(c)	Dividend (Gross) from a Co-operative Society	500
(d)	Long term Capital gain from land	1,800

		Rs.
(e)	Life Insurance premium on his own life,	28,000
(f)	Deposit in National Savings Scheme 1992	12,500

Compute his total income.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain any ten income which is totally exempt from tax.

10. What is Central Board of Direct Taxes? State its powers.

11. Mr. Sampath is employed as an Engine driver in Southern Railway. He is getting Rs. 10,500 p.m. as basic pay, Rs. 5,500 p.m. as dearness pay and Rs. 4,500 p.m. as dearness allowance. During the previous year he received the following :

    (a) Rs. 16,500 as running allowance

    (b) Rs. 200 p.m. per child as education allowance for the education of his two sons

    (c) One of his son is living in hostel on whom Mr. Sampath is spending Rs. 800 p.m.

    He is getting Rs. 500 p.m. for his son as Hostel Allowance for meeting this expenditure.

    (d) Rs. 250 p.m. as city compensatory allowance

    (e) Rs. 400 p.m. as uniform allowance (for official purpose)

    (f) Rs. 1,250 p.m., as H.R.A.

    Mr. Sampath has taken a house for his residence at Ranchi at Rs. 2,500 per month as rent. He contributes 10% of his basic pay and dearness pay to his statutory provident fund and the Southern Railway also contributes a similar amount. Compute the salary income of Mr. Sampath for the assessment year 2011-12.

12. Mr. Vivek (age 30 years), a lawyer, who maintains books of account on cash basis, furnishes the following particulars of his income for the previous year ending March 31, 2011

Receipt and Payment Account for the year ending March 31, 2010.

Receipts	Rs.	Payments	Rs.
Balance b/d	26,000	Purchase of typewriter	7,000
Fee from claints :		Car Expenses	8,000
of 2010 – 11	2,40,000	Office Expenses	7,000
of 2009 – 10	2,03,000	Salary to staff	18,000
Presents from Clients	4,000	Interest on loan	1,000
Loan from a client	8,000	Income tax penalty	2,000
		Contribution to Public Provident Fund	60,000
		Purchase of notified bonds of Infrastructure company	42,000
		Balance c/d	3,36,000
	4,81,000		4,81,000

Notes :

(a) 20 percent of car expenses are attributable towards use of car for personal purposes

(b) Depreciation of car is Rs. 3,000

(c) Income of Mr. Vivek from other sources is Rs. 1,45,000

Determine the taxable income of Vivek for the assessment year 2011-2012

13. Shri Venugobal is a businessman dealing in cloth. On 1.4.2010 the position of his investments was as under

(a) Rs. 24,000 7½ % Government of India Loan 2010.

(b) Rs. 36,000 9% (Tax-free) Debentures of Birla Jute Mils Ltd. (Listed).

(c) Rs. 10,000 12% Debentures of G Ltd.

(d) Interest on National savings certificate (VIII issue) due Rs. 3,860.

(e) Rs. 25,000 7% Rajasthan Government Loan.

(f) Rs. 10,000 7% Capital Investment Bonds

The due dates of interest of all the above securities are 1st May and 1st November. Calculate income form other sources for and assessment year 2011-12.

14. Mr. Sasi draws a salary of Rs. 3,000 p.m. He owns two houses; One where municipal valuation is Rs. 5,000 is occupied by him for his own residence and the other where municipal valuation is Rs. 4,500, is let out at Rs. 550 p.m. The expenses in respect of both the houses are

	House I (own residence)	House II (let out)
Municipal taxes	Rs. 400	Rs. 500
Land revenue	Rs. 150	Rs.200
Interest on loan for reconstruction	Rs. 600	Rs. 550
Fire insurance premium	Rs. 200	Rs. 200
Interest on mortgage	-	Rs. 500
Rent collection charges	-	Rs. 200

The second house remained vacant for 2 months. His income from other sources is Rs. 8,000. Compute his total income.

15. The following are the particulars of income of Mr. Sathya for the previous year ended 31.3.2011.

	Rs.
Loss from house property	6,000
Interest received on Sundry Advances	3,000
Cloth business income	70,000
Share of loss in a firm	18,000
Loss in speculation	3,200
Dividends	5,000
Short term capital gains	1,500
Long term capital gains	21,000
Income from card games	30,000
Interest Income	11,500
Betting (Loss)	7,000
Loss on Maintenance of Horses for race	4,500

Compute the gross total income of Mr. 'Sathya" setting off the different losses against other incomes and state losses, which could be carried forward.

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DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

ECONOMIC LAWS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is meant by unfair trade practices? What are the consequences which leads to it?

2. Explain the term "substantial expansion" and "New Article" in the IDRACT 1951.

3. Write short notes on SEZ.

4. Can a person resident outside India acquire "immovable property in India" – Explain.

5. Mention the different authorities under Environment Protection Act – 1986.

6. State the penalties prescribed under FERA for contravention of its provisions.

7. Explain the objectives of Essential Commodities Act?

8. Discuss "Eco mark and Environmental audit".

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is meant by SSI's? What are the benefits available to SSI's?

10. Discuss the functions and powers of MRTP commission.

11. Who is an authorized dealer? What are his duties under FERA Act? When can his authority be revoked?

12. How is the production, supply and distribution of Essential Commodities controlled under Essential Commodities Act 1955?

13. How is the regulation and management of Foreign Exchange is done in FERA Act?

14. When is an Industrial undertaking exempted from obtaining License?

15. Summarise the provisions as regards to prevention, control and abatement of environmental pollution.

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DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

COST ACCOUNTING

(1999 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Briefly explain the objectives of cost accounting.

2. What is perpetual inventory system?

3. Distinguish between allocation and apportionment of overheads.

4. What is process costing? Explain its features.

5. How do you ascertain Economic Batch Quantity?

6. Material 'A' is used as follows :

   Maximum usage in a month : 600 units

   Minimum usage in a month : 400 units

   Average usage in a month : 450 units

   Lead Time : Maximum 6 months: minimum 2 months

   Re-order quantity : 1,500 units

   Calculate :

   (a) Reorder level;

   (b) Maximum level;

   (c) Minimum level and

   (d) Average Stock level.

7. Calculate Machine hour rate for Machine 'A' from the following data.

Cost of Machine Rs. 16,000

Estimated Scrap value Rs. 1,000

Effective working life 10,000 hours

Running time per four weekly period 160 hours

Standing charges allocated to machine A per four weekly period Rs. 40

Average cost of repairs and maintenance per four weekly period Rs. 120

Power used by machine – 4 units per hour at a cost of 5 paise per unit.

8. A Company employs workers on time wage cum piece wages basis.

Workers get payment as per the method more beneficial for them.

During a week of 44 hours, particulars as under :

Ramu 100 units; Somu 140 units

Time rate Rs. 2.50 per hour; piece rate Re. 1 per unit

Calculate the earnings of each worker.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Describe different elements of cost with suitable examples.

10. Describe the methods of dealing with the profit on incomplete contracts in contract costing.

11. Mr. Kannan furnishes the following details relating to a manufacture of a product during the month of June 2008

Raw materials consumed	Rs. 15,000
Direct labour charges	Rs. 9,000
Machine hours worked	900
Machine hour rate	Rs. 5
Administration overheads	20% on works cost
Selling overheads	Re. 0.50 per unit
Units produced	17,100
Units sold	16,000 at Rs. 4 per unit

Your are required to prepare a cost sheet from the above showing.

The cost per unit and Profit per unit sold.

12. A company has three production departments (A, B and C) and two service departments (X and Y). The particulars of expenses are given below.

	Production Department			Service Department	
	A	B	C	X	Y
	Rs.	Rs.	Rs.	Rs.	Rs.
Total overheads	6,300	7,400	2,800	4,500	2,000

The expenses of the service departments are charged out on a percentage basis as follows.

	A	B	C	X	Y
X	40%	30%	20%	–	10%
Y	30%	30%	20%	20%	–

Prepare a statement showing the apportionment of service departments' expenses to production departments by repeated distribution and simultaneous equation method.

13. From the following information of Vel Construction Company prepare the contract account for 2007. Also show what part of the profit on the contract should be taken credit of in 2007. The contract was for Rs. 8,00,000

Materials issued from stores	Rs. 1,50,000
Wages paid	Rs. 2,20,000
General Charges	Rs. 8,000
Plant installed at site on 1st July 2007	Rs. 40,000
Materials on hand at Close	Rs. 8,000
Wages accrued due	Rs. 8,000
Work certified	Rs. 4,00,000
Work Completed but not certified	Rs. 12,000
Cash received	Rs. 3,00,000
Materials transferred to other contracts	Rs. 8,000
Materials received from other contracts	Rs. 2,000

Depreciation on plane is to be provided at 10% per annum.

14. Product 'M' requires three distinct processes after the third Process the product is transferred to finished stock. You are required to prepare various process accounts from the following information.

Particulars	Total	Process X	Process Y	Process Z
	Rs.	Rs.	Rs.	Rs.
Material	12,000	9,500	1,440	960
Labour	9,600	3,600	3,840	2,160
Direct expenses	1,920	1,200	720	–
Production overheads	14,400	–	–	–

Production overheads are to be allocated to different processes on the basis of labour. Production during the period was 480 units but there is no opening and closing stock. Prepare process accounts for all the three processes.

15. Compute the cost per running kilometer from the following data of a truck.

Estimated life of vehicle 1,00,000 kms.

Annual running 15,000 kms.

	Rs. P
Cost of vehicle	25,000.00
Road licence (Annual)	750.00
Insurance (Annual)	700.00
Garage rent (Annual)	900.00
Supervision and salaries (Annual)	2,700.00
Drivers' wages per hour	3.00

	Rs. P
Cost of fuel per litre	3.00
Repairs and maintenance per km.	1.75
Tyre allocation per km.	0.90

Charge interest at 5% per annum on cost of vehicle. The vehical runs 20 kms. Per hour on an average an one litre of fuel gives 20 kms.

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DISTANCE EDUCATION

B.C.S. DEGREE EXAMINATION, MAY 2012.

FINANCIAL SERVICES

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is a financial market? What are the different parts of financial market?

2. What are the contents of Hire Purchase agreement?

3. What are the specific domestic benefits of mutual funds?

4. State the advantages of factoring.

5. Discuss the role of a merchant banker in corporate sector.

6. What are the components of money market?

7. Spell out the difference between hire purchase and leasing.

8. State the role of merchant banks in raising foreign capital.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain various fund based and non-fund based activities of financial markets in India.

10. What are the modern functions of commercial banks?

11. State the benefits of mutual fund from the point of view of investors and promoters.

12. What are the different steps involved in factoring finance?

13. State the procedure to be followed by a merchant banker while acting as a banker to an issue.

14. Give a brief account on the subsidiary services rendered by commercial banks.

15. What are the functions of financial companies?